

PARTNERSHIP AGREEMENT

Between Digital Microfinance Platform and Licensed Lender

THIS AGREEMENT is made on [DATE]

BETWEEN:

1. [PLATFORM COMPANY NAME] (PTY) LTD
Registration No: [NUMBER]
Registered Address: [ADDRESS], Maseru, Lesotho
(hereinafter referred to as "the Platform" or "Partner A")

AND

2. [LENDER NAME]
Registration/License No: [NUMBER]
Registered Address: [ADDRESS], Lesotho
Licensed by: Central Bank of Lesotho
(hereinafter referred to as "the Lender" or "Partner B")

(Collectively referred to as "the Parties" and individually as "a Party")

RECITALS

WHEREAS:

- A. The Platform operates a digital technology platform connecting borrowers organized in community groups with licensed financial institutions for microfinance lending purposes;
- B. The Lender is a licensed [Microfinance Institution/Bank/Financial Services Provider] authorized by the Central Bank of Lesotho to provide credit facilities to individuals and groups;
- C. The Parties wish to collaborate to provide financial services to unbanked and underbanked individuals in Lesotho, particularly through traditional community structures (Stokvels, Burial Societies, Employer Unions, and Savings Groups);
- D. The Platform has developed technology, processes, and community relationships to facilitate group-based lending while the Lender has the capital, license, and regulatory compliance framework to provide credit;
- E. The Parties desire to enter into this Partnership Agreement to define their respective roles, responsibilities, and the commercial terms of their collaboration.

NOW THEREFORE, in consideration of the mutual covenants and agreements contained herein, the Parties agree as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 Definitions

In this Agreement, unless the context otherwise requires:

"Borrower" means an individual registered on the Platform who is a member of a Borrower Group and applies for credit through the Platform;

"Borrower Group" means a community-based group of 5-25 Borrowers registered on the Platform, organized as a Stokvel, Burial Society, Employer Union, Savings Group, or similar traditional structure;

"Business Day" means any day other than Saturday, Sunday, or public holiday in Lesotho;

"Commencement Date" means [DATE] or such other date as the Parties may agree in writing;

"Confidential Information" means all information disclosed by one Party to the other, whether orally, in writing, or by any other means, that is designated as confidential or that reasonably should be understood to be confidential;

"Default" means failure by a Borrower to make payment when due under the Loan Agreement, continuing for more than [15] days;

"Eligible Borrower" means a Borrower who meets the Lending Criteria set out in Schedule 1;

"Group Guarantee" means the joint and several guarantee provided by members of a Borrower Group in respect of loans to group members;

"Lending Criteria" means the criteria set out in Schedule 1 for determining Eligible Borrowers;

"Loan" means a credit facility extended by the Lender to a Borrower through the Platform;

"Loan Agreement" means the agreement between the Lender and the Borrower governing the terms of a Loan;

"Non-Performing Loan (NPL)" means any Loan in Default for more than [90] days;

"Platform" means the digital technology platform operated by Partner A, including web application, mobile application, USSD system, and related technology;

"Platform Fee" means the fees payable to the Platform as set out in Clause 5;

"Referral" means the process by which the Platform presents an Eligible Borrower to the Lender for credit assessment and potential Loan approval;

"Territory" means the Kingdom of Lesotho;

1.2 Interpretation

- Headings are for convenience only and do not affect interpretation
- References to "Clause" or "Schedule" are to clauses and schedules of this Agreement
- Words importing the singular include the plural and vice versa
- References to any legislation include any amendment, re-enactment, or replacement

2. SCOPE AND PURPOSE OF PARTNERSHIP

2.1 Purpose

The Parties agree to collaborate for the purpose of:

- a) Providing affordable, transparent microfinance loans to unbanked and underbanked individuals in Lesotho;
- b) Leveraging traditional community group structures to reduce lending risk through group guarantees;
- c) Using digital technology to reduce operational costs and expand financial inclusion;
- d) Promoting financial literacy and responsible borrowing practices;

e) Supporting women's economic empowerment and rural development.

2.2 Scope of Collaboration

The collaboration shall encompass:

- a) The Platform identifying, vetting, and presenting Eligible Borrowers to the Lender;
- b) The Lender assessing, approving, disbursing, and servicing Loans to Eligible Borrowers;
- c) Joint development of loan products suitable for different Borrower Group types;
- d) Shared responsibility for borrower education and support;
- e) Collaborative approach to collections and default management.

2.3 Exclusivity

This Agreement is [**non-exclusive** / **exclusive**].

- [**If non-exclusive**]: The Platform may partner with other licensed lenders and the Lender may use other channels for borrower acquisition.
 - [**If exclusive**]: For a period of [TIME PERIOD], the Platform shall not partner with other lenders for [specific product/region], and the Lender shall route [PERCENTAGE]% of its group-based lending through the Platform.
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3. ROLES AND RESPONSIBILITIES

3.1 Platform Responsibilities

The Platform agrees to:

3.1.1 Borrower Acquisition and Vetting:

- Recruit and register Borrower Groups on the Platform;
- Conduct initial identity verification of Borrowers (national ID, address verification);
- Verify group structure, constitution, and member relationships;
- Obtain community endorsements (chief's letters where applicable);
- Collect and verify required documentation as per Lending Criteria;
- Conduct preliminary affordability assessments;

3.1.2 Technology Services:

- Provide and maintain the Platform technology infrastructure;
- Ensure Platform availability of at least 99.5% during Business Hours;
- Implement appropriate security measures including encryption and data protection;
- Facilitate loan applications, document uploads, and e-signatures;
- Integrate with Lender's systems via API or agreed interface;
- Provide mobile money integration for disbursement and repayment;

3.1.3 Customer Service:

- Operate customer support for Borrowers (phone, email, in-person);
- Respond to Borrower inquiries within [24] hours;
- Conduct financial literacy training for Borrower Groups;
- Facilitate group meetings and communications;
- Provide field agent support in rural areas;

3.1.4 Collections Support:

- Send automated payment reminders via SMS/WhatsApp;
- Monitor payment schedules and flag late payments;
- Conduct initial follow-up on missed payments (Days 1-14);
- Facilitate peer support within groups for struggling members;
- Coordinate with group admins for collection assistance;

3.1.5 Reporting:

- Provide weekly reports on loan applications, approvals, and disbursements;
- Provide monthly portfolio quality reports;
- Notify Lender immediately of any suspected fraud or material concerns;
- Maintain accurate records of all Borrower interactions;

3.2 Lender Responsibilities

The Lender agrees to:

3.2.1 Credit Assessment and Approval:

- Review loan applications referred by the Platform;
- Conduct final credit assessment and make lending decisions;
- Provide reasons for declined applications;
- Maintain consistent and transparent lending criteria;
- Approve or decline applications within [3-5] Business Days;

3.2.2 Loan Disbursement:

- Disburse approved Loans within [2] Business Days of approval;
- Transfer funds to Borrower's mobile money account or bank account;
- Provide confirmation of disbursement to Platform and Borrower;

3.2.3 Loan Servicing:

- Maintain accurate Loan records and accounting;
- Generate loan statements available to Borrowers via Platform;
- Process early repayments and provide settlement figures;
- Handle payment processing and reconciliation;

3.2.4 Collections and Recovery:

- Take over collections responsibility for Defaults exceeding [14] days;
- Conduct escalated collections in professional, ethical manner;
- Comply with all consumer protection and fair lending regulations;
- Report Non-Performing Loans to credit bureaus as required;
- Make final decisions on debt forgiveness, restructuring, or legal action;

3.2.5 Regulatory Compliance:

- Maintain all required licenses and registrations;
- Ensure compliance with CBL regulations and directives;
- Conduct AML/KYC procedures as required by law;
- Submit all required regulatory reports;
- Bear full regulatory and legal risk for lending operations;

3.2.6 Financial Literacy Support:

- Contribute to financial literacy content and materials;
- Provide subject matter expertise on credit and savings;
- [Optional: Co-fund financial literacy programs];

3.3 Joint Responsibilities

The Parties jointly agree to:

- a) **Product Development:** Collaborate on designing loan products suitable for different group types;
- b) **Risk Management:** Share insights on portfolio quality, fraud patterns, and risk mitigation;
- c) **Dispute Resolution:** Work together to resolve Borrower complaints and disputes;
- d) **Compliance:** Ensure all activities comply with applicable laws and regulations;
- e) **Reputation Management:** Protect and enhance the reputation of both Parties;

4. LOAN PRODUCTS AND LENDING CRITERIA

4.1 Loan Products

The Parties agree to offer the following loan products (details in Schedule 1):

Product Name	Min Amount	Max Amount	Term	Interest Rate	Group Type
Group Microloan	M 2,000	M 15,000	3–12 months	18–24% p.a.	All groups
Individual Loan	M 5,000	M 30,000	6–24 months	20–28% p.a.	All groups
Agricultural Loan	M 3,000	M 20,000	6–12 months	16–22% p.a.	Savings/Farmer groups
Women's Loan	M 2,000	M 25,000	6–18 months	18–24% p.a.	Women's groups
Emergency Loan	M 1,000	M 5,000	1–3 months	20% p.a.	All groups

4.2 Lending Criteria

Eligible Borrowers must meet the criteria set out in Schedule 1, including but not limited to:

- Lesotho citizen or legal resident, age 18-65;
- Member of verified Borrower Group for minimum period;
- Proof of income or livelihood;
- Acceptable debt-to-income ratio (typically <40%);
- No adverse credit bureau record (or acceptable explanation);
- Group in good standing with acceptable group health score;

4.3 Product Amendments

Either Party may propose amendments to loan products or lending criteria. Amendments require mutual written agreement and [30] days notice for implementation.

5. COMMERCIAL TERMS

5.1 Platform Fees

The Lender shall pay the Platform the following fees:

5.1.1 Referral Fee (Phase 1-2):

- **[OPTION A: Fixed Fee]:** M [AMOUNT] per approved and disbursed Loan, regardless of loan amount
- **[OPTION B: Percentage]:** [2.5]% of the approved Loan amount, payable upon disbursement
- **[OPTION C: Tiered]:**
 - Loans M 1,000-5,000: 3.0% of loan amount

- Loans M 5,001-15,000: 2.5% of loan amount
- Loans M 15,001+: 2.0% of loan amount

5.1.2 Platform Subscription (Optional):

- Monthly subscription: M [AMOUNT] for access to Platform, technology, and support services
- Covers: System access, API integration, training materials, customer support tools

5.1.3 Transaction Fees (Optional):

- M [AMOUNT] per repayment transaction processed through Platform
- Covers: Payment reminders, mobile money integration, receipt generation

5.1.4 Success Fees (Phase 3 - Performance-based):

- Additional [0.5]% if portfolio NPL ratio stays below [3]%
- Bonus payment of M [AMOUNT] upon reaching [1,000/5,000/10,000] active borrowers

5.2 Payment Terms

- All fees payable within [15] days of month-end
- Payment by electronic transfer to Platform's designated account
- Platform to provide monthly invoice with supporting documentation
- Late payments subject to interest at [Prime + 2]% per annum

5.3 Revenue Share (Alternative Model - Phase 3)

[If applicable for direct lending partnership]:

Instead of referral fees, the Parties may agree to a revenue-sharing model:

- Platform receives [15-25]% of net interest income on Loans originated through Platform
- Net interest income = Interest charged to borrowers minus funding costs and loan losses
- Calculated and paid quarterly
- Subject to minimum threshold of M [AMOUNT] per quarter

5.4 Fee Review

Fees shall be reviewed annually on the anniversary of the Commencement Date. Adjustments require mutual written agreement.

6. BORROWER RELATIONSHIP AND DATA

6.1 Borrower Ownership

6.1.1 During Partnership:

- Borrowers are customers of **both** Parties
- Lender owns the lending relationship and credit risk
- Platform owns the technology relationship and group facilitation
- Neither Party may claim exclusive ownership of Borrowers

6.1.2 Upon Termination:

- Lender retains right to service existing Loans to maturity
- Platform retains right to maintain group relationships
- Lender may not use Platform technology without license

- Platform may not access Borrower financial data held by Lender

6.2 Data Sharing and Protection

6.2.1 Data Shared by Platform to Lender:

- Borrower personal information (name, ID, contact, address)
- Employment and income information
- Group membership and relationships
- Documents uploaded by Borrower
- Affordability assessment and credit scoring
- Behavioral data (Platform usage, payment history with other lenders if applicable)

6.2.2 Data Shared by Lender to Platform:

- Loan application status (approved/declined/pending)
- Loan details (amount, term, rate, disbursement date)
- Repayment schedule and status
- Outstanding balance and payment history
- Default and recovery information

6.2.3 Data Protection:

- Both Parties comply with Data Protection Act and all applicable privacy laws
- Data shared only for purposes of this Agreement
- Appropriate technical and organizational security measures implemented
- No sale or unauthorized disclosure of Borrower data to third parties
- Borrowers provide explicit consent for data sharing between Parties
- Data breach notification within [24] hours
- Data retained only as long as necessary and per legal requirements

6.3 Credit Bureau Reporting

- Lender responsible for reporting to credit bureaus as required by law
- Platform may access credit bureau data only with Lender's credentials or appropriate license
- Both Parties cooperate to ensure accurate reporting

7. QUALITY STANDARDS AND PERFORMANCE

7.1 Platform Performance Standards

The Platform commits to:

7.1.1 Technology Performance:

- Platform uptime: 99.5% during Business Hours (6am-10pm)
- API response time: <2 seconds for 95% of requests
- Mobile app crash rate: <1%
- Security: ISO 27001 compliant or equivalent

7.1.2 Borrower Quality:

- Identity verification: 100% of Borrowers
- Document completeness: 95% of applications
- Fraud rate: <0.5% of applications
- Borrower satisfaction: NPS score >40

7.1.3 Customer Service:

- Phone/email response: within 24 hours
- Issue resolution: within 72 hours
- Field agent availability: [Coverage areas]

7.2 Lender Performance Standards

The Lender commits to:

7.2.1 Processing Performance:

- Application decision: within [3-5] Business Days
- Disbursement: within [2] Business Days of approval
- Approval rate: minimum [30]% of eligible applications
- Decline reasons: provided for all rejected applications

7.2.2 Portfolio Quality:

- Target NPL ratio: <5% (Year 1), <4% (Year 2), <3% (Year 3)
- Repayment rate: >95%
- Ethical collections: zero harassment complaints

7.2.3 Customer Service:

- Loan queries: responded to within 24 hours
- Restructuring requests: assessed within 5 Business Days
- Complaint resolution: within 14 days

7.3 Performance Review

- Quarterly review meetings to assess performance against standards
- Annual comprehensive review with adjustment of targets
- Performance issues addressed in good faith before penalties
- Material underperformance may trigger termination rights

8. RISK MANAGEMENT AND DEFAULTS

8.1 Credit Risk

8.1.1 Risk Ownership:

- Lender bears 100% of credit risk and loan loss
- Platform bears no credit risk unless explicitly agreed otherwise
- Group guarantee provides first line of defense

8.1.2 Risk Mitigation:

- Conservative underwriting per agreed Lending Criteria
- Group guarantee structure (joint and several liability)
- Income verification and affordability assessment
- Gradual loan size increases based on repayment history
- Loan insurance for specific products (agricultural, business)

8.2 Default Management Process

8.2.1 Early Stage (Days 1-14):

- Platform sends automated reminders

- Platform customer service contacts Borrower
- Group admin notified to provide peer support
- Platform facilitates payment plan discussions

8.2.2 Group Intervention (Days 15-30):

- Group members notified of default
- Group guarantee mechanism activated
- Platform facilitates group meeting
- Traditional mediation (chief/elder) if appropriate
- Lender may offer restructuring options

8.2.3 Lender Collections (Day 31+):

- Lender takes over collections responsibility
- Professional collections team engaged
- Platform continues to provide Borrower contact and support
- Legal action only as last resort
- Focus on rehabilitation, not punishment

8.2.4 Write-Off (Day 90+):

- Loan classified as Non-Performing
- Credit bureau reporting
- Write-off and recovery decisions by Lender
- Platform may suspend Borrower and group from future lending
- Group rating impacted, affecting future loan terms

8.3 Fraud Prevention

8.3.1 Platform Responsibilities:

- Identity verification (ID document, biometrics if available)
- Address verification (utility bill, chief's letter)
- Group relationship validation
- Detection of duplicate applications
- Monitoring for suspicious patterns

8.3.2 Lender Responsibilities:

- Final KYC and AML checks
- Income verification
- Credit bureau checks
- Employer verification (for employed borrowers)
- Collateral verification (if applicable)

8.3.3 Fraud Response:

- Immediate notification to other Party
- Suspension of Borrower/Group from Platform
- Investigation and documentation
- Law enforcement referral if appropriate
- Sharing of fraud patterns and prevention strategies

8.4 Operational Risk

- Platform maintains business continuity and disaster recovery plans
- Data backup daily with 30-day retention
- Cyber insurance coverage of at least M [AMOUNT]
- Professional indemnity insurance of at least M [AMOUNT]

9. COMPLIANCE AND REGULATORY

9.1 Regulatory Compliance

9.1.1 Lender Obligations:

- Maintain all required licenses in good standing
- Comply with all CBL regulations and directives
- Conduct AML/KYC per Financial Intelligence Unit requirements
- Submit all required regulatory reports
- Obtain CBL approval for partnership if required
- Notify Platform immediately of any regulatory issues

9.1.2 Platform Obligations:

- Operate as technology service provider (not as lender)
- Register with Data Protection Commissioner
- Comply with data protection and privacy laws
- Maintain clear Terms of Service and Privacy Policy
- Not engage in activities requiring financial services license
- Cooperate with Lender's regulatory obligations

9.2 Consumer Protection

Both Parties commit to:

- Transparent pricing and fee disclosure
- Clear, simple language in all communications (Sesotho and English)
- No misleading advertising or representations
- Fair lending practices (no discrimination)
- Responsible lending (affordability assessments)
- Ethical collections (no harassment or abuse)
- Effective complaints handling
- Financial literacy and borrower education

9.3 Anti-Money Laundering (AML)

9.3.1 Customer Due Diligence:

- Identity verification for all Borrowers
- Source of income verification
- Purpose of loan documentation
- Politically Exposed Person (PEP) screening
- Enhanced Due Diligence for high-risk customers

9.3.2 Transaction Monitoring:

- Monitoring for suspicious transactions
- Threshold reporting per FIU requirements
- Suspicious Activity Reports (SARs) when appropriate
- Record retention for 7 years minimum

9.3.3 Responsibilities:

- Lender is primarily responsible for AML/CFT compliance
- Platform assists with data collection and monitoring
- Both Parties conduct staff training annually

- Designated AML compliance officers at both organizations

9.4 Audits and Inspections

- Each Party may audit the other's operations related to this Agreement
 - Audit rights: quarterly for internal audits, annually for external audits
 - [30] days notice required, [5] Business Days access
 - Regulatory inspections: full cooperation required
 - Audit findings addressed within [60] days
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10. INTELLECTUAL PROPERTY

10.1 Platform IP

- Platform owns all IP in the technology platform, software, algorithms, and processes
- Lender receives non-exclusive license to use Platform for purposes of this Agreement
- License terminates upon termination of Agreement
- Lender may not reverse engineer, copy, or replicate Platform technology

10.2 Lender IP

- Lender owns all IP in its loan products, underwriting models, and processes
- Platform receives limited license to use for purposes of this Agreement
- Platform may not share Lender's proprietary information with competitors

10.3 Co-Created IP

- IP jointly developed by Parties (e.g., loan products, training materials) is jointly owned
- Each Party may use co-created IP for purposes of this Agreement
- Commercial exploitation outside Agreement requires mutual consent
- Revenue from third-party licensing shared [50/50 or as agreed]

10.4 Branding

- Each Party retains ownership of its trademarks, logos, and brand
 - Use of other Party's brand requires prior written approval
 - Co-branding guidelines set out in Schedule 3
 - Termination: immediate cessation of brand usage within [30] days
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11. CONFIDENTIALITY

11.1 Confidential Information

Each Party agrees to:

- Keep confidential all Confidential Information received from other Party
- Use Confidential Information only for purposes of this Agreement
- Not disclose to third parties without written consent
- Protect with same degree of care as own confidential information (minimum: reasonable care)

11.2 Exceptions

Confidentiality obligations do not apply to information that:

- Is or becomes publicly available through no breach of this Agreement
- Was rightfully possessed prior to disclosure
- Is independently developed without use of Confidential Information
- Is required to be disclosed by law or regulatory authority

11.3 Duration

Confidentiality obligations survive termination for [5] years.

12. TERM AND TERMINATION

12.1 Term

This Agreement commences on the Commencement Date and continues for an initial term of [2] years, unless terminated earlier in accordance with this Clause.

12.2 Renewal

This Agreement automatically renews for successive [1] year terms unless either Party provides [90] days written notice of non-renewal.

12.3 Termination for Convenience

Either Party may terminate this Agreement:

- For convenience with [90] days written notice
- Minimum notice period: [6] months if portfolio exceeds M [AMOUNT]

12.4 Termination for Cause

Either Party may terminate immediately upon written notice if the other Party:

a) Commits material breach and fails to remedy within [30] days of written notice; b) Becomes insolvent, enters liquidation, or business rescue; c) Has license or registration suspended or revoked; d) Engages in fraud, criminal activity, or gross misconduct; e) Breaches confidentiality or data protection obligations; f) Fails to maintain required insurance coverage; g) Undergoes change of control without consent (if applicable).

12.5 Effects of Termination

Upon termination:

12.5.1 Existing Loans:

- Lender continues servicing all outstanding Loans to maturity
- Platform continues to provide technology support for existing Loans
- Fees continue per terms until all Loans fully repaid

12.5.2 New Business:

- No new loan applications processed after termination date
- Applications in-process completed within [14] days or cancelled

12.5.3 Data:

- Each Party retains data in accordance with legal obligations
- Lender retains all Borrower data related to outstanding Loans

- Platform must delete or anonymize data not required for legal compliance

12.5.4 Payment:

- Final settlement of all fees within [30] days
- Any amounts owed for existing Loans paid per normal schedule

12.5.5 Return of Property:

- Return or destroy Confidential Information (except as required by law)
- Cease use of other Party's trademarks and brand
- Return or destroy all materials provided by other Party

12.6 Survival

The following clauses survive termination:

- Clause 6 (Data Protection) - 7 years
 - Clause 10 (Intellectual Property) - perpetual
 - Clause 11 (Confidentiality) - 5 years
 - Clause 13 (Indemnification) - statute of limitations
 - Clause 14 (Limitation of Liability) - perpetual
 - Clause 17 (Dispute Resolution) - perpetual
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13. INDEMNIFICATION

13.1 Platform Indemnification

Platform indemnifies Lender against losses arising from:

- Platform's breach of this Agreement
- Platform's negligence or willful misconduct
- Technology platform errors causing direct losses
- Data breach caused by Platform's security failures
- Misrepresentation by Platform regarding Borrower information

13.2 Lender Indemnification

Lender indemnifies Platform against losses arising from:

- Lender's breach of this Agreement
- Lender's negligence or willful misconduct
- Lender's regulatory non-compliance
- Unlawful lending practices
- Collections harassment or abuse

13.3 Mutual Indemnification

Each Party indemnifies the other against third-party claims arising from:

- Infringement of intellectual property rights
- Data protection violations
- Consumer protection violations

13.4 Indemnification Process

- Prompt written notice of claim

- Reasonable cooperation in defense
 - Right to participate in defense (at own cost)
 - No settlement without consent (not unreasonably withheld)
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14. LIMITATION OF LIABILITY

14.1 Exclusions

Neither Party is liable for:

- Indirect, consequential, or special damages
- Loss of profits, revenue, or business opportunities
- Loss of data (except if caused by data breach)
- Losses arising from factors beyond reasonable control

14.2 Caps

14.2.1 Platform Liability:

- Capped at [M 500,000] or [12 months fees received], whichever is greater
- Excludes: fraud, willful misconduct, data breach, IP infringement

14.2.2 Lender Liability:

- Capped at [M 2,000,000] or [12 months fees paid], whichever is greater
- Excludes: fraud, willful misconduct, regulatory violations

14.3 Insurance

Each Party maintains adequate insurance coverage:

- Platform: Cyber liability (M [AMOUNT]), professional indemnity (M [AMOUNT])
 - Lender: Professional indemnity (M [AMOUNT]), directors and officers (M [AMOUNT])
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15. FORCE MAJEURE

Neither Party is liable for failure to perform due to events beyond reasonable control, including:

- Natural disasters (earthquakes, floods, fires)
- War, terrorism, civil unrest
- Government actions (beyond regulatory compliance)
- Pandemic or epidemic
- Internet or telecommunications failure (if not Party's network)
- Power outages (if not Party's systems)

Conditions:

- Prompt notice to other Party
 - Reasonable efforts to mitigate and resume performance
 - Suspension, not termination, of obligations
 - If force majeure exceeds [90] days, either Party may terminate
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16. AMENDMENTS AND VARIATIONS

16.1 Written Amendments

This Agreement may only be amended by written agreement signed by both Parties.

16.2 Schedule Amendments

Schedules may be amended by:

- Email agreement from authorized representatives
 - [30] days notice for material changes
 - Immediate effect for minor administrative changes
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17. DISPUTE RESOLUTION

17.1 Good Faith Negotiations

Disputes shall first be resolved through good faith negotiations between senior management (CEO or designate) within [30] days of written notice.

17.2 Mediation

If negotiations fail, either Party may refer dispute to mediation:

- Mediator: mutually agreed or appointed by [Lesotho Chamber of Commerce]
- Location: Maseru, Lesotho
- Language: English
- Cost: shared equally
- Duration: [30] days or as extended by agreement
- Non-binding

17.3 Arbitration

If mediation fails, disputes shall be resolved by arbitration:

- Rules: [UNCITRAL Arbitration Rules / Lesotho Arbitration Act]
- Arbitrator: Single arbitrator mutually agreed or appointed by [appointing authority]
- Location: Maseru, Lesotho
- Language: English
- Confidential proceedings
- Final and binding award
- Enforceable in courts of Lesotho

17.4 Interim Relief

Nothing prevents either Party from seeking urgent interim relief from courts pending arbitration.

17.5 Governing Law and Jurisdiction

- Governed by: Laws of the Kingdom of Lesotho
 - Jurisdiction: Courts of Lesotho (for enforcement of arbitration awards)
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18. GENERAL PROVISIONS

18.1 Entire Agreement

This Agreement (including Schedules) constitutes the entire agreement and supersedes all prior negotiations, representations, or agreements.

18.2 Notices

18.2.1 Methods: Notices must be in writing and delivered by:

- Hand delivery
- Registered mail
- Email (with read receipt)

18.2.2 Addresses:

Platform: Address: [Physical Address] Email: [Email] Attention: [Name, Title]

Lender: Address: [Physical Address] Email: [Email] Attention: [Name, Title]

18.2.3 Deemed Receipt:

- Hand delivery: upon delivery
- Mail: 5 Business Days after posting
- Email: upon confirmed receipt (Business Day before 5pm)

18.3 Assignment

Neither Party may assign this Agreement without prior written consent of the other Party, except:

- Assignment to affiliate with [30] days notice
- Assignment as part of corporate restructuring with consent (not unreasonably withheld)
- Assignment to acquirer upon change of control (with notification)

18.4 Subcontracting

Either Party may subcontract obligations with:

- Prior written notice to other Party
- Remain fully responsible for subcontractor performance
- Ensure subcontractor bound by confidentiality

18.5 Waiver

Failure to enforce any provision does not constitute waiver. Waiver must be in writing and applies only to specific instance.

18.6 Severability

If any provision is invalid or unenforceable, it shall be severed and remaining provisions continue in full force.

18.7 Relationship

The Parties are independent contractors. This Agreement does not create partnership, joint venture, employment, or agency relationship.

18.8 Third Party Rights

This Agreement is for benefit of Parties only. No third party has rights to enforce any provision.

18.9 Counterparts

This Agreement may be executed in counterparts, each of which is an original and all of which constitute one agreement.

18.10 Language

If translated, the English version prevails in case of conflict.

19. SPECIAL PROVISIONS

19.1 Pilot Period (Optional)

The Parties agree to an initial pilot period of [3-6] months during which:

- Target: [100-500] loans, M [1-5] million portfolio
- Performance evaluation at end of pilot
- Either Party may terminate with [30] days notice during pilot
- Full-scale rollout requires mutual written agreement

19.2 Exclusivity (If Applicable)

[If exclusive partnership:]

- Platform shall not partner with other lenders for [product/region] during Term
- Lender shall route [X]% of group-based lending through Platform
- Exclusivity reviewed annually
- Breach of exclusivity: damages of M [AMOUNT] or termination

19.3 Performance Incentives

19.3.1 Volume Bonuses:

- M [AMOUNT] upon reaching [1,000 / 5,000 / 10,000] active borrowers
- Paid within [30] days of milestone achievement

19.3.2 Quality Bonuses:

- [0.5-1.0]% additional commission if NPL ratio <[3]%
- Calculated quarterly, paid with regular fees

19.4 Future Products

Parties agree to collaborate on developing future products:

- Savings accounts linked to groups
 - Micro-insurance products
 - Supply chain financing
 - Revenue sharing to be negotiated
-

SCHEDULES

SCHEDULE 1: LENDING CRITERIA AND LOAN PRODUCTS

A. Eligibility Criteria

General Requirements:

- Age: 18-65 years
- Citizenship: Lesotho citizen or legal resident with valid ID
- Group Membership: Minimum [3] months in verified Borrower Group
- Income: Verifiable income or livelihood
- Debt-to-Income: <40% (including proposed loan)
- Credit Bureau: No major adverse records (or acceptable explanation)
- Group Status: Group in good standing, health score >[threshold]

Employment-Specific:

- Employed: 6+ months with current employer, payslip verification
- Self-Employed: 12+ months in business, income evidence (invoices, bank statements)
- Farmer: Land ownership/lease, crop/livestock verification
- Informal: Regular income pattern demonstrated, community verification

Document Requirements:

- National ID or passport
- Proof of address (utility bill, chief's letter)
- Proof of income (payslips, bank statements, invoices, contracts)
- Chief's letter (for rural borrowers)
- Additional documents per employment type (see Platform specifications)

B. Loan Products Detail

[Insert detailed product specifications as agreed between Parties]

SCHEDULE 2: FEE SCHEDULE

[Insert detailed fee structure, payment terms, and calculation methodology]

SCHEDULE 3: BRANDING GUIDELINES

A. Co-Branding Approach

- Borrower-facing materials show both logos equally
- Order: [Platform Logo] + [Lender Logo] or as mutually agreed
- Tagline: "Powered by [Platform Name] in partnership with [Lender Name]"

B. Marketing Materials

- All marketing materials require prior approval from both Parties
- Approval turnaround: [5] Business Days
- Digital assets provided in Schedule 3 Appendix

C. Attribution

- Platform: "Technology partner" or "Platform provider"
- Lender: "Lending partner" or "Financial services partner"

SCHEDULE 4: TECHNOLOGY SPECIFICATIONS

A. API Integration

- REST API with JSON format
- Authentication: OAuth 2.0 or API keys
- Endpoints: [specified in technical documentation]
- SLA: 99.5% uptime, <2 second response time

B. Data Exchange

- Loan application submission
- Application status updates
- Disbursement confirmation
- Repayment updates
- Portfolio reporting

C. Security Requirements

- TLS 1.2+ encryption for data in transit
 - AES-256 encryption for data at rest
 - Two-factor authentication for admin access
 - IP whitelisting for API access
 - Security audit: annually minimum
-

SIGNATURE PAGE

IN WITNESS WHEREOF, the Parties have executed this Agreement on the date first written above.

FOR AND ON BEHALF OF [PLATFORM COMPANY NAME]:

Signature: _____

Name: _____

Title: _____

Date: _____

Witness Signature: _____

Witness Name: _____

FOR AND ON BEHALF OF [LENDER NAME]:

Signature: _____

Name: _____

Title: _____

Date: _____

Witness Signature: _____

Witness Name: _____

END OF AGREEMENT